

Jane Street episode: Raise the red flags

In recent years, **alongside** the **dramatic** increase in the number of Indian households entering the stock markets, the **derivatives** segment has also **witnessed** a huge **spurt** in trading. Within derivatives, index options **account for** a **sizeable** share of trade. An earlier **study** by Sebi, the stock market regulator, **noted** that while 91.1 per cent of individual traders had lost money in the futures and options segment, it was the **foreign portfolio investors** and **proprietary** traders who had earned the profits, most of which were made by “algo entities”. In April last year, reports mentioned a legal dispute involving the US-based Jane Street Group, which belongs to the algorithmic trading community, “for **alleged** unauthorised use of their proprietary trading strategies in India”. Sebi followed up these reports with a **preliminary** inquiry to determine if there was any market abuse. **Following** its investigation, on July 3, the stock market regulator banned the Jane Street Group for manipulative trading practices and ordered the **impounding** of its unlawful gains, which it estimated at Rs 4,843 crore.

In its **interim** order, the stock market regulator has detailed the **modus operandi** of the Group, the strategies it **drew on** in its trading. It notes that the Group operated an “**intra day index manipulation** pattern”. This involves dealing in segments across equities, futures and options simultaneously. The interim order notes that the “intensity and **sheer** scale of their intervention” and the “reversal of these large and aggressive trading...” was “without any economic **rationale**, other than the **concurrent** activity in and impact on their positions in the Bank Nifty index options markets”. The Group also engaged in an extended “marking the close” strategy, an approach where large buy or sell orders are placed in “the final moments of a trading session, with the specific **intent** of influencing the closing price of a security or index **to its advantage**”. As per the order, on at least 21 days, the Group has “**prima facie** engaged in illegal manipulation”. In February, the National Stock Exchange **cautioned** the Group, saying that it had been “consistently engaging in trading patterns that raised serious concerns over market **integrity**”. Sebi notes that the Group ignored the “regulatory red flags”, and continued with its strategies.

At a time when millions are entering the stock markets, the regulator must ensure that the integrity of markets is maintained. That its surveillance and monitoring systems are able to effectively track transactions at all levels and raise red flags. Regulatory action must be **swiftly** taken to protect the **sanctity** of markets.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

Vocabulary

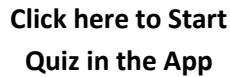
1. **Episode** (noun) – incident, event, occurrence, happening, affair – घटना
2. **Red flag** (noun) – warning, alert, danger sign, caution, signal – चेतावनी संकेत
3. **Alongside** (adverb) – together with, beside, next to, in parallel, simultaneously – साथ-साथ
4. **Dramatic** (adjective) – sudden, striking, intense, spectacular, significant – नाटकीय / तीव्र
5. **Derivative** (noun) – an arrangement or product (such as a future, option, or warrant) whose value derives from and is dependent on the value of an underlying asset, such as a commodity, currency, or security.
6. **Witness** (verb) – observe, see, experience, record, undergo – देखना
7. **Spurt** (noun) – surge, increase, rise, growth, outburst – उछाल / तेजी
8. **Account for** (phrasal verb) – comprise, constitute, represent, form, make up – का हिस्सा होना
9. **Sizeable** (adjective) – large, substantial, significant, considerable, ample – बड़ा / पर्याप्त
10. **Foreign portfolio investor** (FPI) (noun) – investments made by individuals or institutions in a foreign country's financial assets, such as stocks, bonds, and mutual funds, without taking control of the underlying assets or companies. विदेशी पोर्टफोलियो निवेशक
11. **Proprietary** (adjective) – private, exclusive, owned, patented, trademarked – स्वामित्व वाला
12. **Alleged** (adjective) – supposed, claimed, suspected, reported, asserted – कथित
13. **Preliminary** (adjective) – initial, first, preparatory, exploratory, introductory – प्रारंभिक
14. **Following** (preposition) – after, subsequent to, as a result of, ensuing, in the wake of – के बाद
15. **Impound** (verb) – seize, confiscate, withhold, detain, take – ज़ब्त करना
16. **Interim** (adjective) – temporary, provisional, short-term, stopgap, acting – अस्थायी
17. **Modus operandi** (noun) – method, approach, technique, system, procedure – कार्यप्रणाली
18. **Draw on** (phrasal verb) – use, utilize, employ, rely on, depend on – उपयोग करना

19. **Intra day** (noun) – the purchasing and selling of stocks within the same day. – अंतर्दिन (दिन के भीतर व्यापार)
20. **Manipulation** (noun) – control, influence, tampering, interference, exploitation – हेरफेर
21. **Sheer** (adjective) – absolute, pure, complete, utter, total – पूर्ण / अत्यधिक
22. **Rationale** (noun) – reason, logic, justification, basis, explanation – तर्क / कारण
23. **Concurrent** (adjective) – simultaneous, parallel, coinciding, synchronous, overlapping – समवर्ती
24. **Intent** (noun) – purpose, aim, goal, motive, objective – इरादा
25. **To one's advantage** (phrase) – for benefit, profitably, strategically, beneficially, in favor – अपने लाभ के लिए
26. **Prima facie** (noun) – at first glance, apparent, on the surface, seemingly, initial view – प्रथम दृष्टया
27. **Caution** (verb) – warn, alert, advise, notify, forewarn – चेतावनी देना
28. **Integrity** (noun) – honesty, uprightness, trustworthiness, morality, fairness – ईमानदारी / अखंडता
29. **Swiftly** (adverb) – quickly, rapidly, promptly, speedily, immediately – शीघ्रता से
30. **Sanctity** (noun) – holiness, sacredness, inviolability, dignity, purity – पवित्रता

Summary of the Editorial

1. There has been a significant rise in Indian households participating in stock markets in recent years.
2. Simultaneously, derivatives trading, particularly in index options, has seen a sharp increase.
3. A SEBI study revealed that 91.1% of individual traders in the futures and options (F&O) segment lost money.
4. Profits in this segment were largely made by foreign portfolio investors and proprietary traders, especially algorithmic (algo) entities.
5. In April last year, the US-based Jane Street Group was named in a legal dispute over alleged unauthorised use of trading strategies in India.
6. SEBI initiated a preliminary inquiry into Jane Street's activities to investigate possible market abuse.
7. On July 3, SEBI banned Jane Street Group for manipulative trading practices and ordered the impounding of Rs 4,843 crore in unlawful gains.
8. SEBI's interim order outlines the modus operandi of Jane Street, including intra-day index manipulation.
9. The firm simultaneously traded across equities, futures, and options, lacking economic rationale except to benefit positions in Bank Nifty index options.
10. Jane Street engaged in "marking the close", placing large buy/sell orders at day's end to influence closing prices.
11. SEBI found at least 21 instances of prima facie illegal manipulation by the group.
12. In February, the National Stock Exchange (NSE) had warned Jane Street about trading patterns threatening market integrity.
13. Despite this, the group ignored regulatory warnings and persisted with manipulative strategies.
14. With growing retail participation in markets, market integrity and fairness must be protected by vigilant regulation.
15. SEBI must ensure robust surveillance systems and take swift regulatory action to uphold trust and transparency in the markets.

Practice Exercise: Banking Pattern Based



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